

POC • INDIA MUTUAL FUNDS • TAX-AWARE REBALANCING

Every Rebalancing Trade Owes a Tax

A working system that forecasts Indian mutual fund NAVs and rebalances a basket against real capital-gains law — FIFO lot accounting, four different tax buckets, and the ₹1.25L annual exemption most engines don't know exists.

₹16,182

MORE RETAINED AFTER
TAX

94 fewer

TRADES EXECUTED

64% less

TAX PAID IN 3 YEARS

India taxes by what the fund is, not just how long you held it

Tax Bucket	Example	Short-term	Long-term
Equity	Large/flexi/small cap	20% (<12mo)	12.5% (≥12mo, ₹1.25L exemption/FY)
Specified debt	Corporate bond	Investor's slab rate (always, any holding)	
Hybrid	Balanced advantage	Slab rate (<24mo)	12.5% (≥24mo)
Other	Gold fund	Slab rate (<24mo)	12.5% (≥24mo)

Critical constraint: CBDT mandates FIFO (oldest units sold first). No cherry-picking like US strategies. Only levers: *which scheme to trim, when to trim it.*

Four stages, one goal: know the after-tax cost before you trade



Same market, two disciplines: ₹16,182 apart

● NAIVE: MONTHLY REBALANCE		● TAX-AWARE: DRIFT BAND + FORECAST	
Trades	99	Trades	5
Tax paid	₹10,740	Tax paid	₹3,815
After-tax value	₹16,02,597	After-tax value	₹16,18,779